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China healthcare

Global Markets Research

22 June 2026

EQUITY: HEALTH CARE & PHARMACEUTICALS

Jun 26 tour takeaways

Fears and inspirations amid AI bonanza

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During 15-18 Jun, we met representatives of 20 listed companies during our semi-annual healthcare tour to learn about the companies and sector updates – and, more importantly, to cheer each other up amid current downbeat sentiment that has mainly resulted from continuous fund outflow to the AI-related theme.

Fears: Anti-corruption campaigns and out-licensing blockade

Besides a broad lack of market interest, the sector itself has seen some rising concerns at home and abroad recently. Starting with the domestic market. Stricter regulations on drugs/equipment sales (such as on sales reps visiting physicians or on offline pharmacies sales) were issued beginning in May, and some corporates we talked to indeed have witnessed a somewhat adverse impact that has slowed their business recently (though this was difficult to quantify immediately).

For retail pharmacies that encountered negative publicity regarding medical insurance fraud, we dropped by two offline stores, one each belonging to one of two listcos, and found that a hardcopy prescription is indeed required to purchase GLP-1 drugs (the tricky part is that this can still be easily bypassed, by purchasing the drugs from online pharmacies, a more important venue than offline pharmacies for GLP-1 drug sales).

All told, we were reminded that the healthcare sector remained a policy-driven and highly regulated one. Nevertheless, we believe these worries should be short-lived as: (1) sales for major companies are mainly derived from innovative drugs that are relatively less targeted by regulatory scrutiny; and (2) the anti-corruption campaign (ACC) has been active since 2023 and the sector has gotten used to it, to some extent. We would monitor over the next couple of months how these policies affect corporates sales.

On overseas markets, when discussing potential adverse geopolitical impacts that are slowing current robust China molecules out-licensing to (mainly) the US, the poster child of the sector since 2025, almost all participating corporates did not believe that such a concern would materialize and mentioned that their interactions with overseas counterparts remained as busy as usual. On the CRO side, geopolitical concerns are nothing new, and the indispensable role Chinese firms play (also true with regard to the above-mentioned China molecules to overseas licensees, in our view) assures us that the impact most likely be on sentiment rather than on fundamentals.

We believe such Sino-US friction in the healthcare space will be on and off (thus investment sentiment bumpy) in the short term, but collaboration is most likely the long-term direction, as long as Chinese firms maintain their efficiency edge (thanks to patients/scientists dividend), and the US remains the global largest healthcare market.

From a trading perspective, several H-share corporates noted that southbound investors withdrawing positions as one reason for their share price declines, a phenomenon shared by participating domestic investors during the tour. Investors mentioned their position on the broad healthcare sector is approaching an historical trough at the moment.

Inspirations: Trend of going overseas unchanged; domestic business stabilizing

On the fundamentals side, the majority of corporates maintained a positive tone against the backdrop of financial benefit from out-licensing deals, the continued ramp-up of innovative drug sales, progress on clinical-stage assets, overseas market further penetration/overseas orders strong growth, all of which contradict the weak share performances. That is why more and more Chinese healthcare companies (including those joining our tour) are buying back shares, in our view.

Production Complete: 2026-06-22 08:05 UTC

By segment, we observed that CRO companies reported the most resilient results/outlook, mainly thanks to strong growth in manufacturing services. To meet such growing demand, most CROs, including Wuxi Apptec (603259 CH / 2359 HK, Buy), Asymchem (002821 CH / 6821 HK, Buy), and Pharmaron (300759 CH / 3759 HK, Buy) are planning capacity expansions, according to management teams.

Biotech companies reported a set of good clinical data during the ASCO meeting earlier this month and expect to read out more data in 2H26E. Commercialization for these firms, including Innovent (1801 HK,Buy) and Keymed (9606 HK, Not rated) is also on track and satisfactory, according to management teams. None of the pharmas we talked to (including CSPC [1093 HK, Buy], Sinobio [1177 HK, Buy], Hansoh [3692 HK, Neutral], and CMS(867 HK, Not rated]) have revised their full-year guidance, despite the uncertainty caused by ACC. Both pharmas and biotechs anticipated out-licensing deals for their assets to continue.

Medical device companies, including UIH (688271 CH, Buy), Snibe (300832 CH, Buy) and Microport Medbot (2252 HK, Not rated) disclosed that uncertainty still lingers on their domestic business but noted that overseas business growth remains robust. The operations of hospitals (Aier Eye [300015 CH, Buy]) and pharmacies (LBX [603883 CH, Buy]), have seen stabilization and an upward trend, though amid a tighter regulatory environment, according to managements

We understand that AI in healthcare is a market focus, and learned that tech investors are more bullish than healthcare investors in terms of valuing these related companies on higher multiples (in terms of P/S). XtalPi (2228 HK, Not rated), InSilico (3696 HK, Not rated) and Metis (7666 HK, Not rated) briefed us on their services to clients (pharmas/biotechs) and highlighted what differentiated them from CROs, which are not direct competitors but in fact service providers for them.

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China healthcare - Another proposal from the US that might hinder cross-Pacific life-science collaboration

Quick Note - Aier (300015 CH) (Buy) - Share price down on supplemented tax payment

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Appendix A-1

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